SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES

(A Saudi Joint Stock Company)

INTERIM CONSOLIDATED FINANCIAL STATEMENTS

(Unaudited)

FOR THE THREE MONTH AND SIX MONTH PERIODS ENDED 30 JUNE 2016

SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES
(A Saudi Joint Stock Company)

INTERIM CONSOLIDATED FINANCIAL STATEMENTS (Unaudited)
Three month and six month periods ended 30 June 2016

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LIMITED REVIEW REPORT

To the shareholders of Saudi Basic Industries Corporation (SABIC)
(A Saudi Joint Stock Company)

Scope of review

We have reviewed the accompanying interim consolidated balance sheet of Saudi Basic Industries Corporation ("SABIC") – A Saudi Joint Stock Company - and its subsidiaries (collectively referred to as the "Group") as at 30 June 2016 and the related interim consolidated statement of income for the three month and six month periods ended 30 June 2016 and the related interim consolidated statements of cash flows and changes in shareholders' equity for the six month period then ended. These interim consolidated financial statements are the responsibility of the Group's management and have been prepared and submitted to us with all the information and explanations which we required. We conducted our limited review in accordance with the Standard on Review of Interim Financial Reporting issued by the Saudi Organization for Certified Public Accountants. A limited review consists principally of applying analytical procedures to financial data and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with generally accepted auditing standards, the objective of which is the expression of an opinion regarding the financial statements taken as a whole. Accordingly, we do not express such an opinion.

Conclusion

Based on our limited review, we are not aware of any material modifications that should be made to the accompanying interim consolidated financial statements for them to be in conformity with accounting standards generally accepted in the Kingdom of Saudi Arabia.

For Ernst & Young

Rashid S. AlRashoud
Certified Public Accountant
Registration No. 366

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Riyadh: 22 Shawwal 1437H
(27 July 2016)

INTERIM CONSOLIDATED BALANCE SHEET (Unaudited)
As of 30 June

	Note	*2016* *(SR '000)*	*2015* *(SR '000)*
ASSETS			
Current assets			
Cash and cash equivalents		**39,861,448**	37,673,521
Short-term investments		**23,652,599**	31,180,114
Accounts receivable		**19,467,128**	25,217,444
Inventories		**23,523,651**	27,781,497
Prepayments and other current assets		**4,205,488**	4,220,202
Total current assets		**110,710,314**	126,072,778
Non-current assets			
Investments		**17,331,931**	16,431,043
Property, plant and equipment		**172,398,539**	169,482,695
Intangible assets		**16,360,219**	16,936,164
Other non-current assets		**4,389,041**	3,580,436
Total non-current assets		**210,479,730**	206,430,338
TOTAL ASSETS		**321,190,044**	332,503,116
LIABILITIES AND EQUITY			
Current liabilities			
Current portion of long-term debt	***4***	**15,421,071**	12,679,072
Accounts payable		**15,300,740**	17,886,172
Accruals and other current liabilities		**10,272,869**	9,301,951
Zakat payable	***5***	**886,524**	1,058,819
Total current liabilities		**41,881,204**	40,926,014
Non-current liabilities			
Long-term debt	***4***	**56,353,179**	64,118,786
Other non-current liabilities		**3,216,420**	3,707,477
Employee benefits		**13,151,602**	12,295,411
Total non-current liabilities		**72,721,201**	80,121,674
Total liabilities		**114,602,405**	121,047,688
EQUITY			
Shareholders' equity			
Share capital	***6***	**30,000,000**	30,000,000
Statutory reserve		**15,000,000**	15,000,000
General reserve		**110,889,032**	110,889,032
Other reserves		**(4,187,913)**	(3,341,639)
Retained earnings		**9,180,882**	8,877,410
Total shareholders' equity		**160,882,001**	161,424,803
Non-controlling interests		**45,705,638**	50,030,625
Total equity		**206,587,639**	211,455,428
TOTAL LIABILITIES AND EQUITY		**321,190,044**	332,503,116
CONTINGENCIES AND COMMITMENTS	***11***		

The accompanying notes 1 to 14 form an integral part of these interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF INCOME (Unaudited)

	Note	For the three month period ended 30 June		For the six month period ended 30 June	
		2016 (SR '000)	2015 (SR '000)	**2016 (SR '000)**	2015 (SR '000)
Sales		**34,479,314**	42,094,991	**65,631,899**	77,658,938
Cost of sales		**(23,455,027)**	(29,373,067)	**(46,218,018)**	(55,490,563)
GROSS PROFIT		**11,024,287**	12,721,924	**19,413,881**	22,168,375
Selling, general and administrative expenses		**(3,311,734)**	(3,340,459)	**(6,705,435)**	(6,663,350)
Impairment of plant and equipment of a subsidiary	*7*	**(761,057)**	-	**(761,057)**	-
INCOME FROM MAIN OPERATIONS		**6,951,496**	9,381,465	**11,947,389**	15,505,025
Share in results of equity-accounted investees		**330,767**	456,700	**617,706**	729,220
Financial charges		**(432,798)**	(410,185)	**(774,451)**	(780,178)
Other income, net		**386,353**	333,609	**1,063,905**	527,569
INCOME BEFORE SHARE OF NON-CONTROLLING INTERESTS AND ZAKAT		**7,235,818**	9,761,589	**12,854,549**	15,981,636
Share of non-controlling interests		**(1,749,593)**	(3,040,843)	**(3,212,572)**	(4,826,241)
INCOME BEFORE ZAKAT		**5,486,225**	6,720,746	**9,641,977**	11,155,395
Zakat	*5*	**(750,000)**	(550,000)	**(1,500,000)**	(1,050,000)
NET INCOME		**4,736,225**	6,170,746	**8,141,977**	10,105,395
EARNINGS PER SHARE (Saudi Riyals):	*8*				
Attributable to income from main operations		**2.32**	3.13	**3.98**	5.17
Attributable to net income		**1.58**	2.06	**2.71**	3.37

The accompanying notes 1 to 14 form an integral part of these interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS (Unaudited)
For the six month period ended 30 June

	2016 ***(SR '000)***	*2015* *(SR '000)*
OPERATING ACTIVITIES		
Income before zakat	**9,641,977**	11,155,395
Adjustments for:		
Depreciation, amortization and impairment	**8,057,344**	7,114,686
Share in results of equity-accounted investees	**(617,706)**	(729,220)
Share of non-controlling interests	**3,212,572**	4,826,241
Changes in operating assets and liabilities:		
Accounts receivable	**(91,286)**	782,180
Inventories	**1,111,798**	3,893,423
Prepayments and other current assets	**286,096**	(91,137)
Accounts payable	**(1,214,446)**	269,017
Accruals and other current liabilities	**(1,168,093)**	(2,181,432)
Other non-current liabilities	**(519,119)**	(411,282)
Employee benefits	**(47,306)**	352,007
Zakat paid	**(2,246,949)**	(2,192,832)
Net cash generated from operating activities	**16,404,882**	22,787,046
INVESTING ACTIVITIES		
Short-term investments, net	**6,257,212**	7,807,261
Investments, net	**(35,435)**	(224,109)
Property, plant and equipment, net	**(6,858,986)**	(7,105,143)
Intangible assets, net	**(46,816)**	(37,543)
Other non-current assets, net	**98,437**	(1,013,971)
Net cash used in investing activities	**(585,588)**	(573,505)
FINANCING ACTIVITIES		
Long and short-term debt, net	**(550,300)**	(6,048,794)
Non-controlling interests	**(5,440,071)**	(3,681,627)
Dividends paid	**(8,616,798)**	(8,435,815)
Net cash used in financing activities	**(14,607,169)**	(18,166,236)
INCREASE IN CASH AND CASH EQUIVALENTS	**1,212,125**	4,047,305
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD	**38,649,323**	33,626,216
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD	**39,861,448**	37,673,521

The accompanying notes 1 to 14 form an integral part of these interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY
For the six month period ended 30 June 2016

	Note	*Share Capital (SR '000)*	*Statutory reserve (SR '000)*	*General reserve (SR '000)*	*Other reserves (SR '000)*	*Retained earnings (SR '000)*	*Total (SR '000)*
Balance as of 31 December 2015 (audited)		**30,000,000**	**15,000,000**	**110,889,032**	**(4,005,688)**	**10,040,705**	**161,924,049**
Annual dividends for 2015	***13***	**-**	**-**	**-**	**-**	**(9,000,000)**	**(9,000,000)**
Board of directors' remuneration	***13***	**-**	**-**	**-**	**-**	**(1,800)**	**(1,800)**
Net income		**-**	**-**	**-**	**-**	**8,141,977**	**8,141,977**
Net change on currency translation of foreign operations		**-**	**-**	**-**	**285,723**	**-**	**285,723**
Re-measurement impact of employee benefits obligations		**-**	**-**	**-**	**(456,585)**	**-**	**(456,585)**
Net change on revaluation of available for sale investments and others		**-**	**-**	**-**	**(11,363)**	**-**	**(11,363)**
Balance as of 30 June 2016 (unaudited)		**30,000,000**	**15,000,000**	**110,889,032**	**(4,187,913)**	**9,180,882**	**160,882,001**

The accompanying notes 1 to 14 form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES
(A Saudi Joint Stock Company)

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY
For the six month period ended 30 June 2015

	Share Capital (SR '000)	*Statutory reserve (SR '000)*	*General reserve (SR '000)*	*Other reserves (SR '000)*	*Retained earnings (SR '000)*	*Total (SR '000)*
Balance as of 31 December 2014 (audited)	30,000,000	15,000,000	104,076,056	(2,323,131)	14,586,791	161,339,716
Annual dividends for 2014	-	-	-	-	(9,000,000)	(9,000,000)
Board of directors' remuneration	-	-	-	-	(1,800)	(1,800)
Transfer to general reserve	-	-	6,812,976	-	(6,812,976)	-
Net income	-	-	-	-	10,105,395	10,105,395
Net change on currency translation of foreign operations	-	-	-	(1,009,102)	-	(1,009,102)
Re-measurement impact of employee benefits obligations	-	-	-	73,312	-	73,312
Net change on revaluation of available for sale investments and others	-	-	-	(82,718)	-	(82,718)
Balance as of 30 June 2015 (unaudited)	30,000,000	15,000,000	110,889,032	(3,341,639)	8,877,410	161,424,803

The accompanying notes 1 to 14 form an integral part of these interim consolidated financial statements.

1. ORGANIZATION AND ACTIVITIES

Saudi Basic Industries Corporation ("SABIC") is a Saudi Joint Stock Company established pursuant to Royal Decree Number M/66 dated 13 Ramadan 1396H (corresponding to 6 September 1976) and registered in Riyadh under commercial registration No. 1010010813 dated 14 Muharram 1397H (corresponding to 4 January 1977). SABIC is 70% directly owned by the Public Investment Fund (the "PIF"), which is wholly owned by the Government of the Kingdom of Saudi Arabia.

SABIC and its subsidiaries (the "Group") are engaged in the manufacturing, marketing and distribution of chemical, agri-nutrient and metal products in the global markets. The Group's head office is located in Riyadh, Kingdom of Saudi Arabia.

2. BASIS OF PREPARATION

The interim consolidated financial statements have been prepared in accordance with the standard of Interim Financial Reporting and other accounting standards generally accepted in the Kingdom of Saudi Arabia issued by the Saudi Organization for Certified Public Accountants ("SOCPA").

Accounting convention
The interim consolidated financial statements are prepared under the historical cost convention, except for the measurement at fair value of available for sale investments and derivative financial instruments, using the accrual basis of accounting and the going concern concept. For employee and other post-employment benefits related to foreign entities, actuarial present value calculations are used.

Use of estimates, assumptions and judgments
The preparation of the interim consolidated financial statements in conformity with generally accepted accounting standards requires management to make estimates, assumptions and judgments that affect the reported amounts of revenues, expenses, assets and liabilities. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The Group makes estimates and assumptions concerning the future. The actual results ultimately may differ from such estimates.

The significant accounting estimates and assumptions involving a higher degree of uncertainty include impairment of non-current assets and certain employee benefits related to foreign entities.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies adopted by SABIC in preparing its interim consolidated financial statements are in conformity with those described in the annual audited consolidated financial statements for the year ended 31 December 2015.

Basis of consolidation
The interim consolidated financial statements comprise the financial statements of the Group, as adjusted for the elimination of significant inter-company balances and transactions.

A subsidiary is an entity in which SABIC has a direct or indirect equity investment of more than 50% and/or over which it exerts effective management control. The financial statements of the subsidiaries are prepared, using accounting policies, which are consistent with those of SABIC. The subsidiaries are consolidated from the date on which SABIC is able to exercise effective management control, and deconsolidated from the date SABIC loses its effective management control.

The non-controlling interests are calculated and presented as a separate line item in the interim consolidated balance sheet and interim consolidated statement of income.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Basis of consolidation (continued)

The subsidiaries consolidated in these interim consolidated financial statements are as follows:

	Direct and indirect shareholding %	
	2016	*2015*
SABIC Industrial Investments Company (SIIC) and its subsidiaries	***100.00***	*100.00*
SABIC Luxembourg S.a.r.l. (SLUX) and its subsidiaries	***100.00***	*100.00*
Arabian Petrochemical Company (Petrokemya) and its subsidiaries	***100.00***	*100.00*
Saudi Iron and Steel Company (Hadeed)	***100.00***	*100.00*
SABIC Sukuk Company (Sukuk)	***100.00***	*100.00*
SABIC Industrial Catalyst Company (Sabcat)	***100.00***	*100.00*
Saudi Arabia Carbon Fiber Company (SCFC)	***100.00***	*100.00*
SABIC Supply Chain Services Limited Company	***100.00***	-
Saudi European Petrochemical Company (Ibn-Zahr)	***80.00***	*80.00*
Jubail United Petrochemical Company (United)	***75.00***	*75.00*
National Chemical Fertilizer Company (Ibn Al-Baytar)	***71.50***	*71.50*
National Industrial Gases Company (Gas)	***70.00***	*70.00*
Yanbu National Petrochemical Company (Yansab)	***51.95***	*51.95*
Saudi Methanol Company (Ar-Razi)	***50.00***	*50.00*
Al-Jubail Fertilizer Company (Al-Bayroni)	***50.00***	*50.00*
Saudi Yanbu Petrochemical Company (Yanpet)	***50.00***	*50.00*
National Methanol Company (Ibn-Sina)	***50.00***	*50.00*
Saudi Petrochemical Company (Sadaf)	***50.00***	*50.00*
Eastern Petrochemical Company (Sharq)	***50.00***	*50.00*
Al-Jubail Petrochemical Company (Kemya)	***50.00***	*50.00*
Saudi Japanese Acrylonitrile Company (Shrouq)	***50.00***	*50.00*
Saudi Methacrylates Company (Samac)	***50.00***	*50.00*
Arabian Industrial Fibers Company (Ibn-Rushd)	***48.07***	*48.07*
Saudi Arabian Fertilizer Company (Safco)	***42.99***	*42.99*
Saudi Kayan Petrochemical Company (Saudi Kayan)	***35.00***	*35.00*

All directly owned subsidiaries are incorporated in the Kingdom of Saudi Arabia (KSA) except for SLUX, which is incorporated in Luxembourg. Yansab, Safco, and Saudi Kayan are listed Saudi Joint Stock Companies.

During 2016, SABIC Supply Chain Services Limited Company was incorporated (currently in the development stage). The Company is located in Riyadh, KSA and will be engaged in logistics, transportation, distribution and storage of petrochemical products.

Cash and cash equivalents

Cash and cash equivalents include cash on hand, bank balances, short-term deposits, demand deposits, and highly liquid investments with original maturities of three months or less.

Short-term investments

Short-term deposits

Short-term deposits with original maturities of more than three months but less than twelve months are classified as short-term investments and included under current assets. Income from these deposits is recognised on accruals basis.

Held to maturity – current portion

Held to maturity investments are reclassified as short-term investments under current assets when their remaining maturities are less than twelve months.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Accounts receivable
Accounts receivable are stated at the original invoice amount less any provision for doubtful debts. An estimate for doubtful debts is made when the collection of the receivable amount is considered doubtful. Bad debts are written off in the interim consolidated statement of income as incurred.

Inventories
Inventories are stated at the lower of cost or net realizable value and net of provision for slow moving items and obsolescence. Cost of raw materials, consumables, spare parts and finished goods is principally determined on weighted average cost basis. Inventories of work in progress and finished goods include cost of materials, labour and an appropriate proportion of direct overheads.

Investments

Equity-accounted investees

Associated companies
An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but has no control or joint control over those policies.

Joint venture
A joint venture is a contractual arrangement whereby an entity and other parties undertake an economic activity that is subject to joint control. The agreement requires unanimous agreement for financial and operating decisions among the parties involved.

In the interim consolidated financial statements, the investments in equity-accounted investees are initially recognised at cost and adjusted thereafter for the post-acquisition/incorporation change in the Group's share of net assets of such investees. The Group's share in the financial results of these investees is recognised in the interim consolidated statement of income. Significant changes in equity items of these investees are reported within other reserves under interim consolidated statement of changes in shareholders' equity.

Available for sale
This represents investments in financial assets neither acquired for trading purposes nor held to maturity. These are stated at fair value. Differences between fair value and cost, if material, are reported within other reserves under interim consolidated statement of changes in shareholders' equity. Any decline, other than temporary, in the value of these investments is charged to the interim consolidated statement of income.

Fair value is determined by reference to the market value if an open market exists, or by the use of other alternative valuation methods. Otherwise, cost is considered to be the fair value.

Held to maturity
This represents investments that are acquired with the intention and ability of being held to maturity, which are carried at cost (adjusted for any premium or discount), less any decline in value, which is other than temporary. Such investments are classified as non-current assets with the exception of investments maturing in the twelve months period from the date of interim consolidated balance sheet.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and impairment, except for freehold land and construction work in progress which are stated at cost.

Items of property, plant and equipment are depreciated from the date they are available for use or, in respect of self-constructed assets, from the date such assets are completed and ready for the intended use. Depreciation is provided over the estimated useful lives of the applicable assets using the straight-line method. Leasehold improvements are depreciated over the shorter of the estimated useful life or the remaining term of the lease. The capitalised leased assets are depreciated over the shorter of the estimated useful lives or the lease term. The estimated useful lives of the principal asset classes are as follows:

Buildings	33-40 years
Plant and equipment	20 years
Furniture, fixtures and vehicles	4-10 years

Expenditure on maintenance and repairs is expensed, while expenditure on improvements is capitalised. Financing costs related to qualifying assets are capitalised until they are ready for their intended use. Costs, which are directly attributable to turnarounds and major inspections and eligible for capitalisation, are recognised under property, plant and equipment. Such costs once capitalized are depreciated over the period to the occurrence of next such turnaround or major inspection.

Leases

Leases are classified as capital leases whenever the terms of the lease transfer substantially all of the risks and rewards of ownership to the Group. All other leases are classified as operating leases.

Assets held under capital leases are recognised as assets of the Group at the lower of the present value of the minimum lease payments or the fair market value of the assets at the inception of the lease.

Finance costs, which represent the difference between the total lease commitments and the lower of the present value of the minimum lease payments or the fair market value of the assets at the inception of the lease, are charged to the interim consolidated statement of income over the term of the relevant lease in order to produce a constant periodic rate of return on the remaining balance of the obligations for each accounting period.

Rental payments under operating leases are charged to the interim consolidated statement of income on a straight-line basis over the term of the relevant operating leases.

Intangible assets

Intangible assets acquired separately are measured at cost upon initial recognition. Intangible assets acquired in a business combination are measured at fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortization and impairment, if any.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite useful lives are amortized using the straight-line method over the estimated useful lives of relevant assets and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortization periods for intangible assets with finite useful lives are as follows:

Trademarks	22 years
Customer lists	18 years
Patented and unpatented technologies	10 years
IT development costs and technology and innovation assets	3-15 years

Goodwill and other intangible assets with indefinite useful lives are tested for impairment annually or earlier when circumstances indicate that the carrying value may be impaired.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Intangible assets (continued)

Goodwill
The excess of consideration paid over the fair value of net assets acquired is recorded as goodwill. Goodwill is annually re-measured and reported in the interim consolidated financial statements at carrying value after adjustment for impairment, if any.

Pre-operating costs, deferred costs and other intangible assets
Costs incurred during the development of new projects, which are expected to provide benefits in future periods, are deferred and are amortized from the commencement of the commercial operations using a straight-line method over the shorter of the estimated period of economic benefits or seven years.

Impairment of non-current assets
At each balance sheet date, the Group reviews the carrying amount of its tangible and intangible non-current assets to determine whether there is any indication that those assets have suffered an impairment loss. If such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The recoverable amount is the higher of an asset's fair value less costs to sell or value-in-use. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the Cash Generating Unit (CGU) to which the asset belongs.

If the recoverable amount of an asset or CGU is estimated to be less than its carrying amount, the carrying amount of the asset or CGU is reduced to its recoverable amount. Impairment losses are charged to interim consolidated statement of income.

For assets other than goodwill, an assessment is made periodically as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. This reversal is limited so that the carrying amount of the asset does not exceed the amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the interim consolidated statement of income.

Accounts payable and accruals
Liabilities are recognised for amounts to be paid in the future for goods or services received at the balance sheet date.

Provisions
Provisions are recognised when the Group has a present legal or constructive obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Dividends
Final dividends are recognised as a liability at the time of their approval by the General Assembly. Interim dividends are recorded as and when approved by the Board of Directors.

Zakat and income tax
Zakat is provided in accordance with the Regulations of the General Authority of Zakat and Tax ("GAZT") in the Kingdom of Saudi Arabia and on accrual basis. The provision is charged to the interim consolidated statement of income. Differences, if any, resulting from the final assessments are adjusted in the year of their finalization. Foreign shareholders in subsidiaries are subject to income tax in the Kingdom of Saudi Arabia, which is included in non-controlling interests in the interim consolidated financial statements.

For subsidiaries outside the Kingdom of Saudi Arabia, provision for tax is computed in accordance with tax regulations of the respective countries. Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the relevant tax authorities.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Deferred income tax

Deferred income tax is provided using the liability method on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred income tax liabilities are recognised for taxable temporary differences. Deferred income tax assets are recognised for deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred income tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized. Unrecognised deferred income tax assets are reassessed at each balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Long-term debt

Borrowings are recognised at cost, being the fair value of the proceeds received, net of transactions' costs. Financial charges are recorded in the interim consolidated statement of income.

Employee benefits

Employee end of service benefits are provided for in accordance with the requirements of the Saudi Arabian Labour Law and Group's policies. Employee early retirement plan costs are provided for in accordance with the Group's policies and are charged to the interim consolidated statement of income in the year the employee retires.

The Group has pension plans for its employees in overseas jurisdictions. The eligible employees participate in either defined contribution or defined benefit plans. The pension plans take into consideration the legal framework of labour and social security laws of the countries where the subsidiaries are incorporated.

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The net pension asset or liability recognised in the interim consolidated balance sheet in respect of defined benefit post-employment plans is the fair value of plan assets less the present value of the projected defined benefit obligation (DBO) at the balance sheet date. Recognised assets are limited to the present value of any reductions in future contributions or any future refunds. The projected defined benefit obligation is calculated annually by qualified actuaries using the projected unit credit method. Re-measurement amounts, if any, are recognised and reported within other reserves under interim consolidated statement of changes in shareholders' equity and comprises of actuarial gains and losses on the defined benefits obligation.

Pension costs for an interim period are calculated on a year-to-date basis using the actuarially determined pension cost rate at the end of the prior year, adjusted for significant market fluctuations and for significant one-off event, such as plan amendments, curtailments and settlements. In the absence of such significant market fluctuations and one-off event, the actuarial liabilities are rolled forward in the scheme based on the assumptions as at the beginning of the year. If there are significant changes to the pension assumptions or arrangements during the interim period, consideration is given to obtaining an actuarial valuation of the scheme liabilities.

Employee home ownership program

Unsold housing units constructed for eventual sale to eligible employees are included under land and buildings and are depreciated over 33 years. Upon signing the sale contract with the eligible employees, the relevant housing units are classified under other non-current assets.

Revenue recognition

Revenues represent the invoiced value of goods shipped and services rendered by the Group during the period, net of any trade and quantity discounts. Generally, sales are reported net of marketing and distribution expenses incurred in accordance with executed marketing and off-take agreements.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Selling, general and administrative expenses
Production costs and direct expenses are classified as cost of sales. All other expenses, including selling and distribution expenses not deducted from sales are classified as selling, general and administrative expenses.

Technology and innovation expenses
Technology and innovation expenses are charged to the interim consolidated statement of income under selling, general and administrative expenses when incurred. Development expenses, which are expected to generate measurable economic benefits to the Group, are capitalized as intangibles and amortized over the period of their expected useful lives.

Foreign currency translation
Transactions in foreign currencies are translated into Saudi Riyals at the rates of exchange prevailing at the time of such transactions. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rates prevailing at the balance sheet date. Gains and losses from settlement and translation of foreign currency transactions are included in the interim consolidated statement of income.

The financial statements of foreign entities are translated into Saudi Riyals using the exchange rate at each balance sheet date for assets and liabilities, and the average exchange rates for revenues and expenses. Components of equity, other than retained earnings, are translated at the rates prevailing at the date of their occurrence. Translation adjustments, if material, are recorded in the interim consolidated statement of changes in shareholders' equity.

Derivative financial instruments
The Group uses derivative financial instruments to hedge its exposure to certain portions of its interest rate risks arising from financing activities. The use of financial derivatives is governed by the Group's policies, which provide principles on the use of financial derivatives consistent with the Group's risk management strategy. The Group does not use derivative financial instruments for speculative purposes. Derivative financial instruments are initially measured at fair value on the contract date and are re-measured to fair value at subsequent reporting dates.

Current versus non-current classification
An asset or liability is classified as current when it is expected to be realized or paid within twelve months after the balance sheet date, except for derivatives designated as a hedge, which are classified consistent with the underlying hedged item.

Offsetting
A financial asset and liability is offset and the net amount is reported in the interim consolidated financial statements, when the Group has a legally enforceable right to offset the recognised amounts and intends either to settle on a net basis, or to realize the asset and liability simultaneously.

Interim consolidated statement of cash flows
The Group uses the indirect method to prepare the interim consolidated statement of cash flows. Cash flows in foreign currencies are translated at average exchange rates.

Segment reporting
A segment is a distinguishable component of the Group that is engaged either in providing products or services (a business segment) or in providing products or services within a particular economic environment, which is subject to risks and rewards that are different from those of other segments.

4. LONG-TERM DEBT

Term loans

The Group obtained loans in order to finance its investments, which are repayable in conformity with the applicable loan agreements at varying interest rates. Certain subsidiaries' property, plant and equipment have been pledged against their respective loans.

The Public Investment Fund (PIF) and Saudi Industrial Development Fund (SIDF) term loans are generally repayable in semi-annual instalments. PIF loans carry financing charges at varying rates and SIDF loans have an up front and annual administrative fees charged under their loans agreements.

Bonds

The following bonds were outstanding as of 30 June 2016:

- On 3 October 2013, SABIC Capital II B.V., a subsidiary of SLUX, issued a 5 year $ 1 billion bond with a coupon of 2.625%. The proceeds were used to repay external debt.

- On 20 November 2013, SABIC Capital I B.V. issued a 7 year € 750 million bond with a coupon of 2.75%. The proceeds were used to redeem Eurobond € 750 million, upon its maturity on 28 November 2013.

SABIC has provided guarantees for bonds and certain term loans for certain subsidiaries which amounted to SR 30 billion as of 30 June 2016 (30 June 2015: SR 31 billion).

Debt notes

On 29 December 2009, SABIC entered into an agreement with PIF for a private placement of unsecured Saudi Riyal notes amounting to SR 10 billion with multiple tranches. Such tranches are fully drawn and have a bullet maturity after 7 years of their respective issuance. As at 30 June 2016, two tranches amounting to SR 3 billion maturing on 29 December 2016 and 30 March 2017 respectively have been reclassified under current portion of long-term debt.

5. ZAKAT

SABIC has filed its zakat returns with the GAZT, received the zakat certificates, and settled the zakat dues accordingly up to the year ended 31 December 2015. SABIC has cleared its zakat assessment with GAZT up to the year ended 31 December 2014.

6. SHARE CAPITAL

The share capital amounting to SR 30 billion is divided into 3 billion shares of SR 10 each as of 30 June 2016 and 2015.

7. IMPAIRMENT OF PLANT AND EQUIPMENT OF A SUBSIDIARY

The impairment represents the write-down of certain plant and equipment of Ibn Rushd (a subsidiary) to its recoverable amount due to oversupply in the market pushing profitability down.

This impairment is attributable to the following:

	(SR '000)
SABIC	**365,805**
Non-controlling interests	**395,252**
	761,057

The recoverable amount of SR 7,204 million as at 30 June 2016 was based on "value-in-use" method and was determined at the level of cash generating unit ("CGU") as identified by Ibn Rushd's management and consists of the net operating assets of Ibn Rushd. In determining value in use for the CGU, the cash flows – determined using approved 5-year business plan and budget – were discounted at a rate of 9.5% on a pre-zakat basis and were projected up to the year 2035 in line with the estimated useful life of the concerned plant and equipment. The estimated average growth rate used to extrapolate the cash flows beyond the 5-year period was 0.6% and Ibn Rushd's management believes that such growth rate does not exceed the long-term average growth rate for the market in which it operates. The calculation of value-in-use is most sensitive to the following key assumptions used:

- Future performance improvements
- Discount rate applied to cash flows projections
- Sale prices and quantities

8. EARNINGS PER SHARE

The earnings per share is calculated based on the weighted average number of outstanding shares at the end of the period.

9. SEGMENT INFORMATION

The Group's operations consist of the following business segments:

- **The chemicals segment** includes chemicals, polymers and innovative plastic products.
- **The agri-nutrients segment** consists of fertilizer products.
- **The metals segment** consists of steel products.
- **The corporate segment** includes the corporate operations, technology and innovation centres, investment activities and SABIC Industrial Investments Company (SIIC).

	Chemicals SR'000	*Agri-Nutrients SR'000*	*Metals SR'000*	*Corporate SR'000*	*Consolidation adjustments & eliminations SR'000*	*Total SR'000*
30 June 2016 (Unaudited)						
Sales	**74,224,343**	**2,347,152**	**5,020,041**	**3,851,819**	**(19,811,456)**	**65,631,899**
Gross profit (loss)	**16,744,080**	**656,184**	**(391,689)**	**2,017,831**	**387,475**	**19,413,881**
Net income (loss)	**10,413,519**	**692,902**	**(667,371)**	**9,104,132**	**(11,401,205)**	**8,141,977**
Total assets	**226,514,693**	**13,054,579**	**20,491,034**	**223,846,183**	**(162,716,445)**	**321,190,044**
Total liabilities	**150,010,165**	**2,688,476**	**4,772,856**	**55,430,657**	**(98,299,749)**	**114,602,405**
30 June 2015 (Unaudited)						
Sales	87,325,887	3,035,244	6,239,851	4,415,619	(23,357,663)	77,658,938
Gross profit	17,315,854	1,436,755	414,658	1,750,535	1,250,573	22,168,375
Net income	11,332,714	1,387,702	104,853	9,327,572	(12,047,446)	10,105,395
Total assets	242,307,401	13,690,601	23,127,173	215,455,621	(162,077,680)	332,503,116
Total liabilities	159,517,107	1,750,517	5,179,126	53,601,225	(99,000,287)	121,047,688

The total net results of the above segments include share in the results of the subsidiaries and the associated companies. Also, the total assets balances in these segments include investment balances with respect to subsidiaries.

Substantial portion of the Group's operating assets are located in the Kingdom of Saudi Arabia. The principal markets for the Group's chemical products are Europe, USA, Middle East, and Asia Pacific. The principal markets for the Group's agri-nutrients segment are mainly in South East Asia, Australia, New Zealand, South America, Africa and Middle East. The metals segment sales are mainly in the Kingdom of Saudi Arabia and other Gulf Cooperative Council (GCC) Countries. The corporate activities are primarily based in the Kingdom of Saudi Arabia.

10. INTERIM RESULTS

The results of operations for the interim periods may not be an accurate indication of the results of the full year's operations. The interim consolidated financial statements and the accompanying notes should be read in conjunction with the annual audited consolidated financial statements and the related notes for the year ended 31 December 2015.

11. CONTINGENCIES AND COMMITMENTS

The Group is involved in litigation matters in the ordinary course of business, which are being defended. While the ultimate results of these matters cannot be determined with certainty, the Group's management does not expect that they will have a material adverse effect on the interim consolidated financial statements of the Group.

The Group's bankers have issued, on its behalf, bank guarantees amounting to SR 3 billion as of 30 June 2016 (30 June 2015: SR 3 billion) in the normal course of business.

SABIC has an equity contribution commitment towards its 15% interest in Ma'adan Wa'ad Al Shamal Phosphate Company (MWSP). As of 30 June 2016, the outstanding commitment towards this investment amounts to SR 0.21 billion (30 June 2015: SR 0.67 billion). Pursuant to the terms of the agreements with the other shareholders of MWSP and its external lenders, SABIC has agreed to contribute additional funds to MWSP, under certain circumstances and to the extent required, in the event of cost over-runs.

SABIC also has an equity contribution commitment towards its 25% interest in Saudi Arabian Industrial Investments Company (SAIIC). As of 30 June 2016, the outstanding commitment towards this investment amounts to SR 0.38 billion (30 June 2015: 0.38 billion).

12. DERIVATIVE FINANCIAL INSTRUMENTS

The Group has executed derivative financial instruments transactions including commission rate swaps. The remaining notional amount outstanding as of 30 June 2016 under such transactions was SR 4 billion (30 June 2015: SR 4 billion).

13. APPROPRIATION OF NET INCOME AND SUBSEQUENT EVENTS

The Annual General Assembly, in its meeting held on 4 Rajab 1437H (corresponding to 11 April 2016), approved the appropriation of the net income for the year ended 31 December 2015 as follows:

- distribution of cash dividends of SR 16.5 billion (SR 5.5 per share), this includes the interim cash dividends amounting to SR 7.5 billion (SR 2.5 per share) for the first half of 2015;
- payment of SR 1.8 million as Board of Directors' remuneration

On 22 Shawwal 1437H (corresponding to 27th of July 2016), SABIC declared interim cash dividends for the first half of the year 2016 amounting to SR 6 billion (at SR 2 per share).

14. COMPARATIVE FIGURES

Certain prior period figures have been re-classified to conform to the presentation in the current period.